

CRNC

CRNC N/A

Hold	\$10.06 ▼ 4.73%	12M Price Target \$11.50	52-Week Range \$5.85 – \$13.74	Market Cap \$455M
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CRNC: Voice AI Underdog Quietly Stabilizing, BYD Deal Helps

WHAT'S CHANGED

- CRNC dropped about 4.7% today to \$10.06 on light volume (only ~483K shares vs. their usual 1M+), so this looks more like profit-taking after the recent run from \$10 to \$10.77 last week than anything fundamental.
- No fresh news or SEC filings — the last real catalyst was the Q2 earnings miss back on May 8 and the expanded BYD partnership (a big Chinese EV maker now using Cerence's large language model tech in cars).

IMPLICATIONS

Today's drop is noise — low volume, no news, just the stock giving back some of last week's gains. The bigger picture: CRNC is in a "show me" phase after missing earnings in May, meaning investors want proof the BYD deal and other partnerships actually translate into revenue growth before paying up. Until then, the stock probably chops around in this \$9-12 range.

VALUATION

At \$455M market cap on roughly \$235M of revenue, you're paying about \$2 for every \$1 of sales — which is cheap for an AI-adjacent name (SoundHound trades north of \$15 per dollar of revenue). But there's a reason: Cerence is still losing money and revenue is barely growing. Fair value is probably \$11-13 if they hit numbers, with \$16+ upside if they actually return to growth.

KEY RISKS

- Big tech is coming for their lunch — Google, Amazon, and Apple all want to be the voice in your car, and they have infinite money to throw at it.
- They're still burning cash and carry debt from the SpinCo days (when they were spun out of Nuance in 2019), so another bad quarter could force a dilutive capital raise (issuing new shares, which shrinks your slice of the pie).
- Auto industry is cyclical — if car sales slow globally, CRNC's royalty revenue (they get paid per car shipped with their software) takes a direct hit.

RECENT NEWS

- Why SoundHound's Pipeline Growth Matters for the SOUN Stock** Zacks · 2026-05-22 14:25
- Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff?** Zacks · 2026-05-13 15:10
- Cerence (CRNC) Q2 Earnings Miss Estimates** Zacks · 2026-05-08 02:25
- Cerence (CRNC) Q2 2026 Earnings Transcript** Motley Fool · 2026-05-07 22:38
- Cerence (CRNC) Expands BYD Partnership for LLM-Powered In-Car AI** Insider Monkey · 2026-05-07 14:59

OPTIONS INTELLIGENCE

Langston's | Equity Research Coverage

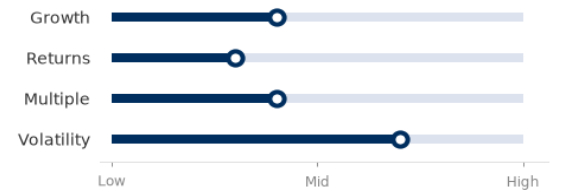
AI-Generated Pre-Market Brief | 2026-06-23 19:39 UTC

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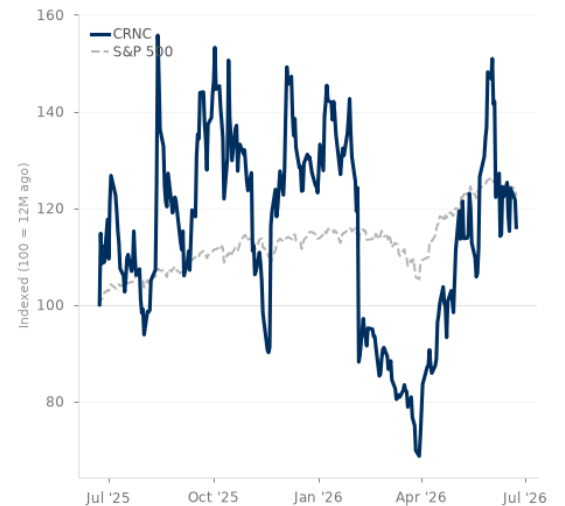
Key Data

Price (USD)	\$10.06
12M Price Target	\$11.50
Upside / (Downside)	+14.3%
Market Cap	\$455M
FY2026E Revenue	\$235M
FY2027E Revenue	\$250M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.00	\$10.50	\$8.50
6 Months	\$14.00	\$11.00	\$7.50
1 Year	\$16.00	\$11.50	\$6.00
2 Years	\$20.00	\$13.00	\$5.00
5 Years	\$28.00	\$16.00	\$3.00
10 Years	\$40.00	\$20.00	\$2.00

SECTOR INTELLIGENCE

HEATING UP: Consumer staples, real estate, healthcare, and utilities — classic defensive sectors, meaning investors are getting nervous and parking money in boring/safe stuff.

COOLING OFF: Communication services down 4% on the week — that's where a lot of AI/tech names live, so the AI trade is taking a breather.

ROTATION WATCH: Money is rotating OUT of growth/AI and INTO defensives, which is a headwind for CRNC since it's lumped in with the AI bucket. This is usually a late-cycle move where investors worry about a slowdown.

RELATED PLAY: If voice AI in cars keeps growing, the chipmakers powering it (Qualcomm's auto division, NVIDIA's automotive segment) benefit too — and they're way more profitable than CRNC.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): The direct competitor — has been getting all the AI voice hype and trades at a much richer multiple despite being smaller, because investors believe their growth story more.
- GOOGL (Alphabet): Google Assistant Auto is a real threat — they have the AI, the data, and the Android Auto distribution.

CRNC CONTEXT: CRNC is the lagging value play in voice AI — cheaper than SOUN but for good reason (slower growth, legacy auto exposure). It's a contrarian bet, not a momentum bet.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative)

Entry Points: \$8.50-9.50 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Loss of a top-3 auto OEM customer, or another revenue miss >10%

Hedging: Pair with long SOUN or short auto-tech ETF to neutralize sector risk